

MORTGAGES

According to S. of Mortgage Act No. 8 of 2009, a mortgage includes any charge or lien over land or any estate or interest in land in Uganda for securing the payment of an existing or future or a contingent debt or other money or money's worth or the performance of an obligation and includes a second or subsequent mortgage, a third party mortgage and a sub mortgage.

The current statutory definition is a radical departure from that contained in the now repealed Mortgage Act Cap 229 which only applied to registered land. For example, in **Commercial Microfinance Ltd v Davis Kayondo**, Kiryabwire J held that the plaintiff's interest in the suit land was not registered and in the case of unregistered interests in land the law applicable is common law and doctrines of equity not the Mortgage Act Cap 229.

The registration requirement was removed by the current Mortgage Act under S. 2. The current statutory definition extends not merely to money but also to money's worth or the performance of an obligation. The definition of a mortgage under the provision also includes a second or subsequent mortgage, a third party mortgage and a sub mortgage.

For the meaning of mortgagor and mortgagee, see S. 2 of M.A No. 8 of 2019.

CREATION OF A MORTGAGE.

According to S. of Mortgage Act No. 8 of 2009, a mortgage can be created by any person who claims any estate or interest in land in Uganda. By virtue of this section, there are basically two categories of persons who can create a mortgage in Uganda and these include those who either legal or equitable interests in land. **(Refer to land law I notes on legal and equitable interests in land more importantly consider Art. 237 (1)-(3) & (8) of the 1995 constitution & S. 29 of the Land Act (as amended)).**

Generally, in Uganda, interest in land determines the nature of mortgage in that if the mortgagor claims a legal interest, a legal mortgage shall be created and the provisions of the RTA shall govern the same. On the other hand, an equitable mortgage shall be created by any person claiming equitable interest in land. In **Y. Mutambulire v. Yosefu Kimera [1975] HCB 150** Ssekandi Ag. J., held that in Uganda, the law regulating mortgages is twofold. If the land mortgaged is regulated by the Registration of Titles Act, then that Act applied. In the case of an unregistered interest in land the applicable law was the common law and doctrines of equity.

This position was reiterated by Lameck Mukasa J., in **Uganda Ecumenical Church Loan Fund Limited v. Nankabirwa Harriet HCCS No. 0307 of 2002**, where he cited with approval the old case of **Waswa v. Kikungwe (1952) ULR1**, which recognized that a mortgage could be created in respect of unregistered land held under customary tenure, and principles of equity would be the applicable law.

Apart from estate or interest in land, an interest in movable property (chattels) can be used as a security to secure a financial assistance. See **The Security Interest in Movable Property Act, 2019**. However, it's important to note that a mortgage is only created if the security is land. Hence if a chattel is pledged as a security that shall not be regarded as a mortgage but rather a loan agreement.

Types of mortgages.

There are basically two types of mortgages, namely, legal mortgage and equitable mortgage.

a) Legal mortgage.

A legal mortgage is defined in the Black's Law Dictionary as a creditor's mortgage arising by operation of law on the debtor's property. S. 3(1) **M. A** confers powers on any person holding land under any land tenure to mortgage his or her interest in the land by an instrument in the prescribed form. Under the 2nd Schedule of the Mortgage Regulation, 2012, the prescribed form requires the signatures of both the mortgagor and the mortgagee and for their respective witnesses. The failure to sign is a fatal defect. This position was reaffirmed in the case of **Diana Nansikombi Bbosa V Stanbic Bank (U) Ltd., HCCS No. 406 of 2014** and also in the case of **Alice Okiror & Anor V Global Capital Save, 2004 Ltd.** In both cases the court held that where a mortgage deed doubles as a loan agreement, both parties to it need to properly execute it to make it valid, and that the signature of the mortgagee is necessary.

It's also important to note that such a mortgage requires attestation and the signatures of both the mortgagor and mortgagee to be in Latin character as provided for under Ss. 147 & 148 RTA. In **Fredrick Zzabwe V Orient Bank Ltd & 5 others** the guiding principle and rationale for attestation and the signature being in Latin character under Ss. 147 & 148, were set out by Katureebe JSC (as he then was) when he held that;

“In my view the rationale behind section 148 requiring a signature to be in Latin character must be to make clear to everybody receiving that document as to who the signatory is so that it can also be ascertained whether he had the authority or capacity to sign. When a witness attesting to a signature merely scribbles a signature without giving his name or capacity, how would the Registrar or anyone else ascertain that witness had capacity to witness in terms of section 147 of the Registration of Titles Act?”

Non compliance with provisions of Ss. 147 & 148 RTA was aptly stated in **General Parts (U) Limited V Non Performing Assets Recovery Trust, Civil Appeal No 5 of 1999**, wherein court stated that, the effect of a mortgage being invalid is that it is

absolutely illegal and any transaction on it is null and void and cannot be sanctioned by court.

The registered proprietor of any land under the operation of the RTA is at liberty to sign powers of attorney in favour of another person for purposes of mortgaging such land so long as Ss. 147 & 148 RTA are complied with. A power of Attorney being a public document for it to be effectual for purposes of being transacted upon, it must be registered in accordance with the Registration of Documents Act pursuant to provisions of S. 146 (2) RTA. Upon registration, it remains in force unless revoked.

Whenever a mortgage deed is entered into based on the powers of attorney, the deed must as a matter of requirement mention such Powers of Attorney otherwise it shall be null and void. For example, in **Fredrick Zzabwe vs. Orient Bank Ltd & Ors** an issue of absence of any mention of a power of attorney in a mortgage deed arose and Supreme Court observed as follows;

“How would the Registrar, by looking at this mortgage deed know that the 2nd respondent had authority at this property? In my view this would have been simply solved by the mortgage deed clearly stating that the 2nd respondent was acting under a power of attorney issued in accordance with section 146 of the Act.”

According to S. 3 (4) **M.A**, every legal mortgage only takes effect when registered. This section is in line with S. 54 RTA which states that no instrument is effective until registered. The mortgage deed shall be registered as an encumbrance on the encumbrance page of the certificate of title.

b) Equitable/informal mortgage.

Conversely, an equitable mortgage is a transaction that has the intent but not the form of a mortgage, and that a court of equity will treat as a mortgage. This is based on the equitable doctrine of equity regards as ought that to be done. Such an agreement

created an equitable mortgage. In **Amratlal Purshottam Bhimji & Anor V Gian Singh Bhambra & Ors HCCS No. 239 of 2009** court held observed that,

“It is the established law that an equitable mortgage is duly created when a transaction has the intent but not the form of a mortgage, and which a court of equity will treat as a mortgage. The threshold issue in an action seeking imposition of an equitable mortgage is whether the plaintiff has an equitable remedy at law.”

S. 2 **M.A** No. 8 of 2009 defines an informal mortgage to mean a written and witnessed undertaking, the clear intention of which is to charge the mortgagor's land with the repayment of money or money's worth obtained from the mortgagee and includes an equitable mortgage and a mortgage on unregistered customary land.

By virtual of the above definition, a mortgage is regarded as equitable if;

- a) There is a written undertaking (agreement between the mortgagor and mortgagee).
- b) In such undertaking (agreement) the mortgagor intended to charge his/her land as a security.
- c) Such land acts as a security for repayment of the money or money's worth obtained from the mortgagee.

It should be remembered that this kind of mortgage is regarded as equitable since it does not meet the salient features of a legal mortgage. See S. 3(1) **M.A** which confers powers on any person holding land under any land tenure to mortgage his or her interest in the land by an instrument in the prescribed form. Such mortgage deed must be attested to by both the mortgagor and mortgagee to be in Latin character as provided for under Ss. 147 & 148 RTA. Lastly, S. 3 (4) **M.A** No. 8 of 2009, requires every legal mortgage to be registered in line with S. 54 RTA.

Further, reference should be made to Art. 237 (8) of the 1995 Constitution and Ss. 29 & 34(1) & (3) of the Land Act which provide for the lawful and bona fide occupants (tenants by occupancy) and the right to pledge the same as well as need for seeking permission from the registered proprietor. In **Commercial Microfinance Ltd V Davis Edgar Kayondo HCCS No.12 of 2006** in which one of the issues for determination was whether the defendant could take unregistered land as security. Relying on S.2 of the Microfinance Deposit Taking Institutions Act Geoffrey Kiryabwire J. stated that,

“The starting point is Section 54 of the Registration of Title Act [Cap230] which provides that no instrument until registered shall be effectual to pass any estate or interest in any land under the Act. However, a lot of unregistered land is still pledged in Uganda... Of course where there is a customary certificate of ownership under Section 8 the Land Act and in particular Section 8 (2) (c) such certificate can be the subject of a mortgage. However where there is no customary certificate of ownership, as in this case, the position is less clear... Mr. Mugenyi has referred to the land in this case as a Kibanja which is a customary holding and therefore can be used to create a mortgage under the common law and doctrines of equity. This on the authorities cited above I agree with and therefore answer the first issue in the affirmative.”

Equitable/informal mortgage is further emphasised by S. 3 (8) (a) (b) (i) (ii) (iii) & (iv) of the **M.A** No. 8 of 2009 which allow a borrower and a lender to enter into an informal mortgage. The same provision permits the lender to accept a deposit of; a certificate of customary ownership, a certificate of title issued under the Registration of Titles Act, a lease agreement or any other document which may be agreed upon evidencing a right to an interest in land.

In relation to depositing a certificate of title, an equitable mortgage cannot be created if the object of depositing the title is merely for self custody. In **Guaranty Discount Co. Ltd v Credit Tenance Corp. Ltd and Anor [1903] E.A 345** it was observed that it is

not necessary that a note or memo should accompany the deposit, however, to avoid controversy and in the interest of both parties, there should be a memo, setting out the object of the deposit and the terms of the same.

The person named in the certificate as proprietor must be a one to deposit the certificate. Where there are two or more persons registered as proprietors, all must be involved in the deposit. In **Desouza-Figueiredo V Talbot and Anor [1961] EA 167**, two executors were registered as proprietors of the suit property. Only one deposited the certificate and as security for a loan. It was held that the deposit was ineffective to create an equitable mortgage.

From the above, an equitable mortgage can generally be created in two ways namely; by either entering into an undertaking (agreement between the mortgagor and mortgagee) or by depositing documents of ownership of the land intended to be used as security.

Mortgaging of matrimonial home.

According to S. 2 **M.A** No. 8 of 2009 a matrimonial home means a building or part of a building in which a husband and wife or, as the case may be, wives, and their children, if any, ordinarily reside together and includes—

- a) where a building and its curtilage are occupied primarily for residential purposes, that curtilage and outbuildings on it; and
- b) where a building is on or occupied in conjunction with agricultural land or pastoral land, any land allocated by one spouse to his or her spouse or in the case of a husband, to his spouses for his, her, or their exclusive use.

From the above definition, matrimonial home includes the following;

- a) A building and its curtilage occupied primarily for residential purposes.

- b) A building occupied in conjunction with agricultural land or pastoral land.
- c) Any land allocated by one spouse to his or her spouse for his, her, or their exclusive use.

As already seen above, S. 3 (1) & (2) **M.A** No. 8 of 2009 permits any person claiming an estate or interest in any of the four tenure systems to mortgage the same by even creating third party mortgages, second, subsequent mortgages and sub mortgages. However, S.3 (3) **M.A** No. 8 of 2009 is to the effect that such power or right should be exercisable subject to any prohibition or limitation imposed by this Act, by any regulations made under this Act or by any written law; or any restriction contained in an instrument creating or affecting an interest in land which is to be the subject of a mortgage.

In relation to matrimonial home this implies that such a home cannot and is not available to act as a mortgage unless prior consent of the spouse or spouses is sought. Also reference should be made to S. 20 (a) & (b) of the Land (Amendment) Act 2004 (S. 39 Land Act) which prohibits inter alia pledging, mortgaging or entering into any contract for pledging or mortgaging any family land except with the prior consent of his or her spouse. In **Enid Tumwebaze versus Mpereirwe Stephen & Another, HCCA No. 039 of 2010** court emphasised that the provisions of **Section 39** of the Land Act on spousal consent are mandatory and cannot be circumvented.

The rationale for the prohibition was stated in **Alice Okiror and Anor versus Global Capital Save & Anor HCCS No. 149 of 2010** when court stated that the Land Act provides for security of occupancy of the family land which means land where the residence of the family is situate. Before such land is sold or mortgaged, there must be clear spousal consent.

Also see **Natty Ntare V Equity Bank (U) Ltd & Anor HCMC No 16 of 2015** wherein court stated that,

“By raising the provisions of section 39 of the Land Act cap 227 on the question of illegality, it is imperative that the provisions of the Land Act has to be read in conjunction with the relevant provisions of the Mortgage Act, Act 8 of 2009...Starting with the Land Act Cap 227 as amended by the Land Act Amendment Act, it is a statutory requirement for a spouse to seek the consent of his family before mortgaging land among other transactions...The prohibition to enter into any transaction in respect of land is provided for under section 39 (1) ...it specifically applies to a person who wants to sell, exchange, transfer, pledge, mortgage or lease any family land; or enter into any contract for the sale, exchange, transfer, pledging, mortgage or lease of any family land...The presumption is that the person prohibited is a spouse...”

Refer to S. 19 of the Land (Amendment) Act 2004 for the meaning of family land.

For the procedural steps require prior to mortgaging matrimonial home refer to;

- a) Ss. 4, 5, 6 & 7 **M.A** No. 8 of 2009 and;
- b) Regulations 3, 18 & 19 Mortgage Regulations, 2012

COVENANTS, CONDITIONS AND POWERS IMPLIED IN MORTGAGES.

1. Implied covenants by the mortgagor.

Refer to S. 18 M.A. 08/09

RIGHTS OF MORTGAGOR

1. The Equity of redemption

Refer to Ss. 14-15 M.A. 08/09

A mortgage is not an absolute conveyance of land but rather a conveyance for a specific and restricted purpose namely that of security repayment of a debt on performance of some other contractual obligation.

The courts will compel the mortgagee to reconvey to the mortgagor once the latter was paid the debt or discharged the obligation under the mortgage. In **Wamala v Musoke** it was held that if the borrower wishes to retain the land within a reasonable time he will always be allowed to so even if the due debt is passed. This rule is so strict that not even an express agreement will be allowed to exclude the borrower's right to redeem. The rules of equity of redemption are defined and summarized below:

No clog on the equity of redemption. Equity will hold void any stipulation in mortgage whose effect is to fetter redemption on payment of debts or performance of the obligation for which the security was given. **Refer to Ss. 14-15 M.A. 08/09**

In **Commercial Microfinance Ltd V Davis Edgar Kayondo 0012 - 2006** Geoffrey Kiryabwire J. stated that,

“Equity has always regarded a security interest in land to secure a debt as a mortgage and the right to redeem the land by payment of the debt and interest as an inviolable right of the mortgagor which cannot be taken away by any provision to the contrary in a contract. There must be no clog or fetter on the equity of redemption. This means that, the mortgagor cannot be prevented from eventually redeeming his property on repayment of the sum advanced together with interest due and the mortgagee's proper costs, and secondly that, after redemption he is free from all the conditions of the mortgage. Any express stipulation which is inconsistent with the right of redemption will be ineffective and the mortgagor may still redeem as if there had been no such restriction”

Romer J in **Biggo v Hoddinott [1898] Ch. 307 at 314**, that “a mortgage cannot be a contract between the mortgagor and mortgagee or a clog on the equity of redemption

so as to prevent the mortgager from redeeming on payment of principle interests and costs of course I mean redeeming at the time agreed between the parties for redeeming”.

Similarly in **Santley v Wilde [1899] 2 Ch. 474**, Lindley M.R said that “a clog or fetter on equity of redemption is void. It follows from this that “once a mortgage always a mortgage”.

It should be noted that a right to redeem is not merely a personal right but a mere interest in the property mortgaged. A clog or fetter on this equitable interest is of a nature of a repugnant condition which cannot be enforced because its inconsistent with the very idea of a security.

1. **The right to redeem must not be excluded.** The courts will not allow provision in a mortgage whose effect is to exclude the equity of redemption. The courts have had the occasions to consider the provisions in the mortgage which give the mortgagees to purchase mortgaged property. In **Samuel v Jerr and Timber and wood [1904] A.C 323** the mortgagee was given an option at the time of creating a mortgage to purchase mortgaged property. Lord Macaghten cited the viz passage from the judgment of Nottingham M.C in **Verrion v Bethel**.

“ this court as a court of conscience is very jealous of persons taking securities for a loan and converting such securities into purchases and therefore I take it to be an established rule that a mortgage can never provide at the time the loan for any event or condition on which the equity of redemption shall be discharged and the conveyance absolute and there is great reason and justice in this rule for necessitous men and not truly speaking the men but to answer a present exigency shall submit to any terms that the craft may impose upon them”.

In **Mutambulire v Josep Kimera**, the disputed argument was not of a sale of Kibanja but the mortgage which the respondent who was a mortgagor would redeem on the due date or at any time after the date set for repayment of the loan.

The right to redeem may be postponed. The issue for postponement of the right to redeem was considered on **James Fairclough v Sawm Brewery Co. [1912] AC 565** the council had to determine whether a clause in a mortgage deed by the lessee of a hotel to Brewery company precluding the lessee from redeeming his mortgager held the hotel was void as being a clog on the equity of redemption Lord Macnagten held;

“Therefore here the provision for redemption is nugatory; the encumbrance from the lease is subject of the mortgage acc. to which letter bargain for those to be discharged before the lease terminates but at a time when it is a very point of expiring redemption can be of no advantage to the mortgager even if he should be lucky as to get his deeds back before the actual termination of the lease. For all the practical purposes, this mortgage is irredeemable; it was made irredeemable by the mortgage itself”

The court concluded that in circumstances the right redeem was a mere illusion however redemption of mortgage can be postponed to an agreed date, such postponement cannot be declared void and fetter on with equity of redemption unless the contract is so oppressive or unconscionable and it ought not be enforced in a court of equity. The principle adopted is one of oppressiveness or unconscionableness in a clause postponing the equity of redemption.

Enforcement of equity of redemption

The equity of redemption is enforceable by the mortgagor when he/she pays off the principle loan, interest and any other charges under the mortgage. In cases of a legal mortgage the equity of redemption is enforced under RTA by executing a release of mortgage in form of the 12th schedule which has to be registered as provisions of RTA.

The duties of the mortgagor.

A mortgager is under an obligation to repay a loan to observe covenants in mortgage agreement, reserve mortgage property in a tenantable condition i.e. to ensure that they do not depreciate in value.

Rights of mortgagee

In case of failure of performance by the mortgagor in any covenant, the mortgagee is entitled to 2 forms of remedies.

i) Sue the mortgagor or obligor if any/guarantor

On any or both on the covenant, or he may seek to realize the security under the mortgage in the manner provided for under the mortgage Act.

The remedies of the mortgagee under the Mortgage Act are cumulative in nature which means the mortgagee's options of pursue one of the remedies do not eliminate his rights to pursue any other remedies so long as the first option did not lead to the realization of his full security. In the case of **Gordon Grantan Co. v Bros (1926) AC 781** it was observed that if the mortgagee exercises his power of sale and the purchase price is less than mortgage, debt he may sue the mortgagor for the balance or breach of personal covenant to pay.

The right and the extent to which a mortgagee can sale the mortgaged property is provided for under S.21 of M.A. 08/09.

ii) Appointment of the receiver.

S.22 of M.A. 08/09 provides that where the mortgaged property is capable of generating income e.g. rent, receivership is a convenient mode of realizing the security. A receiver has powers to enter into possession of mortgaged land and to collect a demand for action in the name of either the mortgagor or mortgagee all income accruing to mortgage land and give a valid receipt thereof. It's authorized to do all the necessary things for the management of things including making repairs and improvements as directed in writing by mortgagee and approved in writing by mortgagee or the court.

In **Grindlays Bank (U) Ltd v Edward Boaz SCCApp. 22/92**, the Supreme Court declared void a verbal appointment of the receiver by mortgagee's lawyers since it contravened the equivalents of a written appointment described under Mortgage decree, Supreme Court further held that the purported sale by such a receiver was declared illegal and set aside.

A receiver appointed by a mortgagor is the statutory agent of a mortgagor and the parties cannot change this position with an express agreement in the mortgage deeds. Its important to note that the receiver is accountable to both mortgagor and mortgagee to the extent of mortgagee interest in the mortgage land purportedly all defects of receiver are the responsible of the mortgager. A receiver appointed by court is obliged to account to court at any time as directed by court.

iii) Mortgagee's power of leasing.

Refer to S. 22 M.A. 08/09

iv) Taking possession of a Mortgaged property

Refer to Ss. 24 & 25 M.A. 08/09

In **Quite V City of London Brewery Society v Cant (1966) 2W.LR 323**, it was observed that where there has been an application by the mortgagee to enter into possession of land the court cannot withhold or postpone his taking possession except when the mortgagor is willing and there is a possibility of his paying the loan.

Barclays Bank V Bird [1964] Ch. 274 for the purposes of possession, an equitable mortgagee was in the same position as a legal mortgagee.

v) Foreclosure and Consequent sale.

Refer to Ss. 26-32 M.A. 08/09

It's normally a remedy of last resort when receivership and possession have failed to raise enough income to discharge the mortgage debt. After sale of mortgaged property the mortgagee exercising power of sale becomes a trustee of surplus proceeds if any after satisfying his own charge to hand over the balance to the subsequent encumbrances and remaining balance to the mortgagor.

At Common law the order of foreclosure does not affect the right of prior mortgages. Its only mortgages subject to one under which foreclosure is ordered.

In **William V Morgan**; it was held that court order is mandatory for foreclosure; and in foreclosure is to vest the mortgagor's estate in the mortgagee in full settlement of the debt. According to S.10 of Mortgage Act, a sale cannot take place until after lapse of 30days. From that date of order of foreclosure, prior to the sale, the mortgagor should give reasonable notice or the date of the order of foreclosure thus notice should state, place and time of sale.

However, failure to yield to the notice does not invalidate the sale but render the mortgagee liable for any loss occasioned by failure to give notice. In the case of **Warning (Lord) V London & Manchester Ass. Co. Ltd & Ors. [1935] Ch. 310** a

mortgagee's exercise of his power to sell the mortgaged property by public auction or private contract is binding on the mortgagor before completion unless it is proved that he exercised it in bad faith. The fact that a contract of sale was entered into under value is not by itself enough to prove bad faith.

According to **Epaineti Mubiru V Credit & Savings Bank [1978] HCB 109** the court will not question the validity of the sale of mortgaged property following a statutory notice on the ground alone that the notice over stated the principle. The law governing the sale of mortgaged property is that, the mortgagee exercising his statutory power of sale do not act as a trustee for the mortgagor; he exercises the power for his benefit to realize his security by turning it into money whenever he likes.

Upon concluding the sale, the mortgagee must account for the proceeds to the mortgagor. The latter takes the excess over the balance on the sale. Consequently, if Lord Atkin Neighbour Principle is applied there is proximity in the mortgagee and the mortgagor which gives rise to a duty to take reasonable precaution in the true mortgage contract value from the property. The mortgagee must not only act in good faith but also act as a reasonable man would behave in the realization of his own property. So that the mortgagor may receive credit for the fair value of the property sold.

Whether foreclosure applies to unregistered land.

In **Commercial Microfinance Ltd V Davis Edgar Kayondo 0012 - 2006** Geoffrey Kiryabwire J. stated that,

“In my view, however, the Mortgage Act is not applicable in this case as the plaintiff's interest in the land was not registered under that or any other Act and in agreement with Ssekandi, Ag. J. (as he then was) in the case of Matambulire V Kimera, H.C.C.A No. 37 of 1972, at P.8, in the case of unregistered interests in land the law applicable is the common law and the doctrine of Equity (S.14 (2) (b) (i) of the Judicature Act, (Cap 13).”

Priority of mortgages

Refer to S. 9 M.A. 08/09

It is important to determine priority of mortgages where a proprietor of land creates more than one mortgage on the same price of land. Where the land is registered to the legal and equitable mortgages must be registered according to Mortgage Act and under the torren system of land registration instruments are accorded priority from the date of registration.

Accordingly, the priority of different mortgages will depend on the dates of their registration. The first to be registered will take priority over the latter unless the mortgagees agree to rank in pari-pasu (same level) creation of subsequent mortgages that may rank prior to their mortgages except in their express consent.

Further priority of mortgages on unregistered land is determined according to the agreement of parties. The absence of that agreement between mortgager and mortgagee the doctrine of equity are referred to determine the priorities of mortgages.

Powers of the court with respect to mortgages.

Refer to Ss. 33-36 M.A. 08/09

Powers of the registrar with respect to mortgages.

Refer to Ss. 33-36 M.A. 08/09